Apex Holdings Inc. — Annual Financial Performance Report

Fiscal Year 2025 | Audited Financial Statements & Operational Review

1. Executive Financial Overview

Apex Holdings Inc. concluded Fiscal Year 2025 with strong revenue growth, improved operational margins, and accelerated expansion across international software-as-a-service markets. Total consolidated revenues reached $412.5M, representing a 22.4% year-over-year increase compared to FY2024.

Key Financial Highlights

• Annual Recurring Revenue (ARR) grew to $328.0M (+28.1% YoY).

• Gross Profit Margin expanded 180 basis points to 78.4%.

• Operating Cash Flow generated $84.2M, supporting strategic R&D; investments.

• Cash and cash equivalents totaled $165.8M as of December 31, 2025.

Metric (in $ Millions)	FY 2023	FY 2024	FY 2025	YoY Change
Subscription Revenue	$210.4	$256.0	$328.0	+28.1%
Professional Services	$42.1	$54.2	$84.5	+55.9%
Total Revenue	$252.5	$310.2	$412.5	+33.0%
Operating Expenses	$178.0	$215.4	$280.1	+30.0%
Net Income	$28.4	$42.8	$62.3	+45.5%

2. Operational Expenses & Capital Expenditure

Operating expenditures for FY2025 were aligned with long-term strategic milestones. Research and development accounted for 32% of total operational spend, focusing on cloud scalability, enterprise machine learning integrations, and automated compliance.

Departmental Breakdown

Department	Budget Allocated	Actual Spend	Variance
Engineering & R&D	$95.0M	$92.4M	-2.7%
Sales & Marketing	$120.0M	$118.6M	-1.2%
General & Administrative	$45.0M	$44.1M	-2.0%
Information Technology	$28.0M	$25.0M	-10.7%

Capital Investments in Enterprise Resilience

Capital expenditures included $14.2M dedicated to infrastructure modernization, cloud disaster recovery multi-region replication, and SOC 2 automated audit infrastructure.

3. FY2026 Guidance & Auditor Affirmation

Management issues the following guidance for the fiscal year ending December 31, 2026:

• Projected Revenue: $500.0M – $520.0M (21% to 26% growth).

• Adjusted EBITDA Margin: 24.0% to 26.0%.

• Free Cash Flow conversion exceeding 85% of Net Income.

Independent Auditor Affirmation

The consolidated financial statements of Apex Holdings Inc. were examined by Deloitte & Touche LLP. In our opinion, the financial statements present fairly, in all material respects, the financial position of the Company.